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FBAR Penalty is not Extinguished at Death: *Hendler*, No. 23 Civ. 3280 (DEH) (SD NY, 2024)

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Introduction

The *Hendler* case (No. 23 Civ. 3280 (DEH), 134 AFTR2d 2024-5650 (SD NY)) addresses whether FBAR penalties that accrued prior to the taxpayer's death can be assessed on the decedent's estate or do the penalties end at death. This issue involves the nature of the FBAR penalties such as whether they are remedial. The article explains this case and why the court found that penalties for failure to file an FBAR form survive the filer's death.

Background

Form TD F 90-22.1, Report of Foreign Bank and Financial Accounts (FBAR), is a form to report foreign bank accounts to FinCEN within the U.S. Department of the Treasury. U.S. citizens and residents are required to file an FBAR form when their combined balance of foreign bank accounts exceeds $10,000 at any time during the calendar year. The failure to file results in penalties.

David Benishai, a U.S. citizen, held a financial interest or signature authority over nine bank accounts in Israel from 2004 to 2010. Of these accounts, three were personal, while the other six were associated with two corporate entities where Benishai had signature authority over the accounts. During this period, the total balance of these accounts exceeded $10,000 USD. However, Benishai failed to file the required FBAR in these years.

In March 2015, Benishai filed the overdue FBARs for these accounts. In October 2015, the government began to examine Benishai's FBARs. Benishai and his representatives agreed in writing to extend the government's assessment period for FBAR penalties until June 30, 2021.

Benishai passed away in January 2021. The government assessed a $250,000 FBAR penalty against his estate in April 2021 and sent a penalty notice to the estate's last known address, though it was returned as undeliverable. Subsequently, the government adjusted the penalty to $70,000, charging $10,000 for each year from 2004 to 2010 due to the penalties for failure to file were determined by the U.S. Supreme Court to be per form rather than per account not timely reported.[1] At October 3, 2023, the outstanding balance for the FBAR penalties, including interest, totaled $81,935.

The government sued Hanna Hendler, the administrator and beneficiary of the Estate of David Benishai and Danielle Benishai, David's wife for the unpaid FBAR penalties. The taxpayers argued that the government did not have the authority to assess FBAR penalties against the estate rather than against Benishai himself because the FBAR penalties were assessed in 2021, which was after the death of Benishai. They also claimed that the FBAR penalties that incurred prior in April 2021 should have been extinguished upon Benishai's death.

Effect of Taxpayer's Death on the Government's FBAR Claim

David Benishai held foreign bank accounts during the years 2004 to 2010 but failed to file the required FBARs for those years. The FBAR penalties for calendar year 2010 were imposed by the government for failure to file and accrued on June 30, 2011, not on the later date of penalty assessment, April 2021. Thus, the penalties accrued prior to Benishai's death. The court held in

[1] *Bittner, 598 US 85,* 131 AFTR2d 2023-799 (USSC).

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line with a Second Circuit Court of Appeals decision that the FBAR liability was incurred on the due date of the FBAR, not the assessment date.[2]

The court held that the penalty liability accrued in June 2011, which was ten years prior to Benishai's death. The taxpayer's argument to challenge the accrual date was inaccurate. The liability accrued before his death, and thus can be claimed against his estate.

Next the court examined whether the penalties survive after the taxpayer's death. The court noted that the answer depends on the nature of the claim. According to the federal common law, punitive claims are extinguished upon a taxpayer's death, while remedial claims survive.[3] The court found that the FBAR liability survives a taxpayer's death because it is intended to reimburse the government for the investigation costs to uncover the tax evasion activities associated with failure to file an FBAR.[4] The court determined that FBAR penalties were remedial and not punitive, meaning they survived Benishai's death. The court also concluded that the taxpayer's estate purposely failed to file an FBAR form when the taxpayer was alive, and the taxpayer would not have escaped a penalty had they survived so should not be able to avoid it at death.[5]

Statute of Limitations

Under 31 U.S.C. § 5321(b), the statute limitation for an FBAR violation is six years from the date of transaction that resulted in penalty. Benishai had multiple agreements with the government extending the statute limitation by consent on the following dates: August 4, 2014; June 30, 2015; March 21, 2017; October 16, 2018; June 27, 2019; and October 30, 2020. The last extension extended the assessment period to June 30 2021.

The taxpayer argued that all the assessments were late because the government could not extend the statute of limitations by consent and, even if it could, it was not allowed to do so after the statute of limitation had already started. They claimed that the assessments for 2004 to 2007 were late.

A series of district court cases in the Eleventh Circuit explicitly affirmed that such statute extension agreements are permissible. The court ruled that the statute of limitations could be extended by consent, even after the expiration.[6]The limitation period to assess FBAR penalty might be waived when the claims expired.[7] The relevant law neither explicitly authorizes nor prohibits the extension of statute limitation by agreement. In another case, the statute of limitations served as an affirmative defense that may be waived if not timely asserted.[8] The taxpayer's argument was also unconvincing because a statute of limitations issue is an affirmative defense that the taxpayer must raise, indicating that a defendant may choose to waive it.

The taxpayer also argued that the extension should be disregarded. The extensions were agreed to by Benishai. The taxpayer failed to explain why Benishai should not be bound by his agreements.[9]

The court ruled that the IRS's assessment of penalties was timely, as Benishai had agreed to extend the statute of limitations before his passing.

[2] *Park,* 123 AFTR2d 2019-1981(ND IL).
[3] *Beth Israel Med Ctr.,* 603F. Supp.2d 677, 680 (SD NY 2009).
[4] *Kahr,* 24 AFTR2d 69-5332(2nd Cir.).
[5] *Park, supra.*
[6] *Lisenby,* No,22 Civ. 4579 (ND GA).
[7] *Soloman,*128 AFTR2d 2021-6537(SD FL).
[8] *Chimblo,* 83 AFTR 2d 99-2610 (2nd Cir.).
[9] *Mulgrew v. U.S. Dept. of Transp*, No. 24 Civ. 81, (ED NY, 2024).

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Constitutional Arguments

The taxpayers next argued that Benishai's death in January 2021, before the April 2021 assessment, meant the government's penalty imposition violated the Fifth Amendment's due process protection as he did not have the opportunity to contest the penalties. Also, death cannot abate the tax liability.[10] The court held that the estate had adequate due process through the opportunities to contest FBAR penalties, thus satisfying the Fifth Amendment requirement.

The taxpayer also claimed that the FBAR penalties, as punitive fines, violated the Eighth Amendment's prohibition on excessive fines, arguing that imposing penalties on a deceased taxpayer was excessive. The court observed that a First Circuit case concluded that the FBAR penalty was not a fine and was not subjected to the Excessive Fines Clause of the Eighth Amendment.[11]

Conclusion

In summary, the court granted the government's motion for summary judgment, upholding the FBAR penalties against Benishai's estate, and denied the estate's motions. This decision clarified that non-willful FBAR penalties are enforceable against an estate, as they were seen as civil obligations unaffected by the taxpayer's death.

[10] *Park, supra*.
[11] *Toth,* 129 AFTR 2d 2022-1646 (1st Cir.), *cert denied*, 143 S.CT 552 (2023).